

Introduction to Accounting

LEARNING OBJECTIVES



Students should be able to:

01 Explain the definition of accounting and differentiate between accounting and bookkeeping.

02 explain the accounting cycle

03 Explain the functions of financial statements

04 Identify different groups of users and their use of the financial statement.

05 Explain the business forms and their characteristics

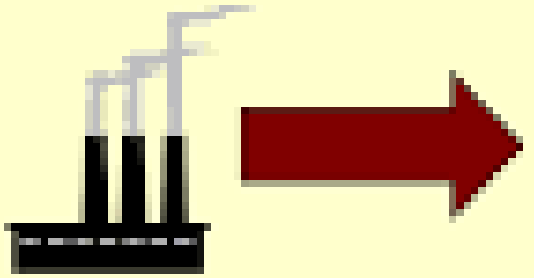
What is accounting?

“It is a systematic process of classifying, recording and summarizing transactions and business events in monetary terms and interpreting the results to interested users to enable them to make economic decisions.”



What Is Accounting?

Entity



Business Transactions



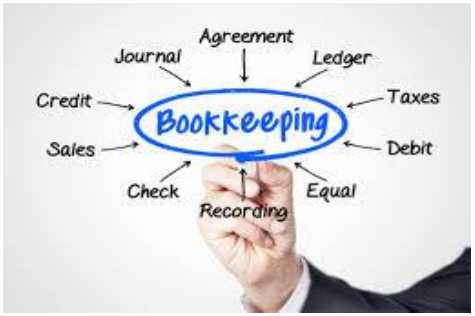
Accounting is a system providing information about business transactions to the users of accounting information, based on which decisions and judgments are made

AccountingCorner.org

What is bookkeeping?



Bookkeeping is only **a part of accounting** which stresses on the recording of business transactions.

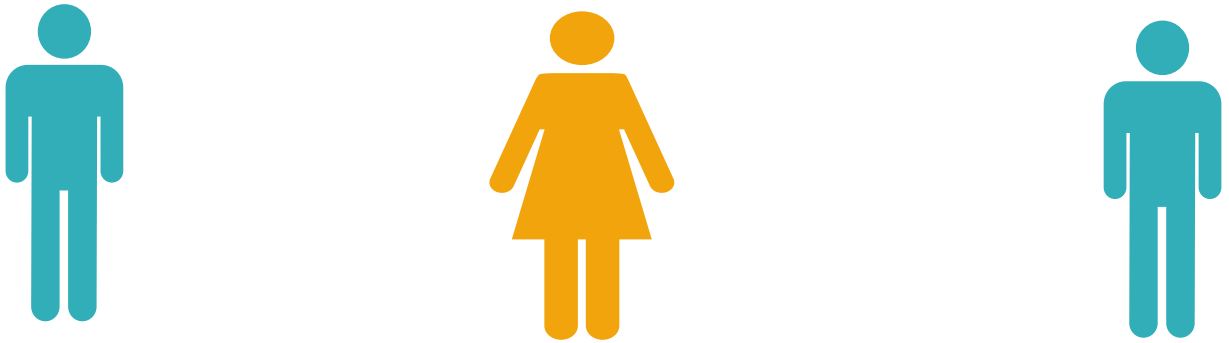


It is the activity of **keeping full documentation of every single financial transaction** of the entity to **form a base for the accounting process**. The work is clerical in nature.

What are the differences between bookkeeping and accounting?

- ✓ Bookkeeping is different from accounting as it is only the first step to Accounting, i.e. keeping proper records of the financial transactions of an entity.
- ✓ Accounting is a complete procedure which starts from the recording of transactions and ends on reporting of the financial statements to the interested users.
- ✓ The task of bookkeeping is performed by a bookkeeper while accounting is perform by the accountant.

Who is the people behind the task?



Bookeeper

Classifying, recording and summarizing the business transactions systematically

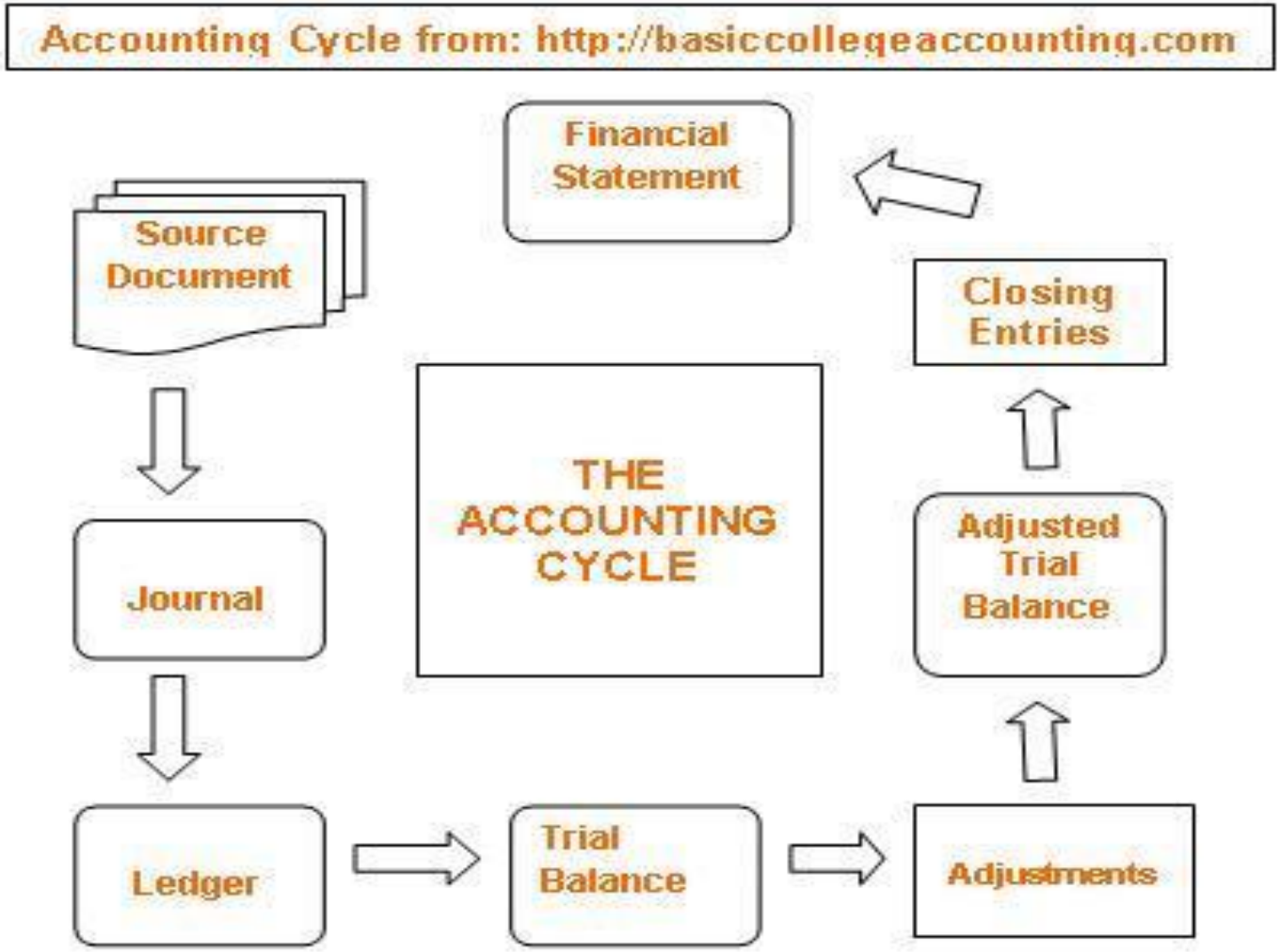
Accountants

Prepare and interpret the financial statements.

Auditors (internal/external)

Review the company's books, financial statements and look for any errors and discrepancies.

The Accounting Cycle

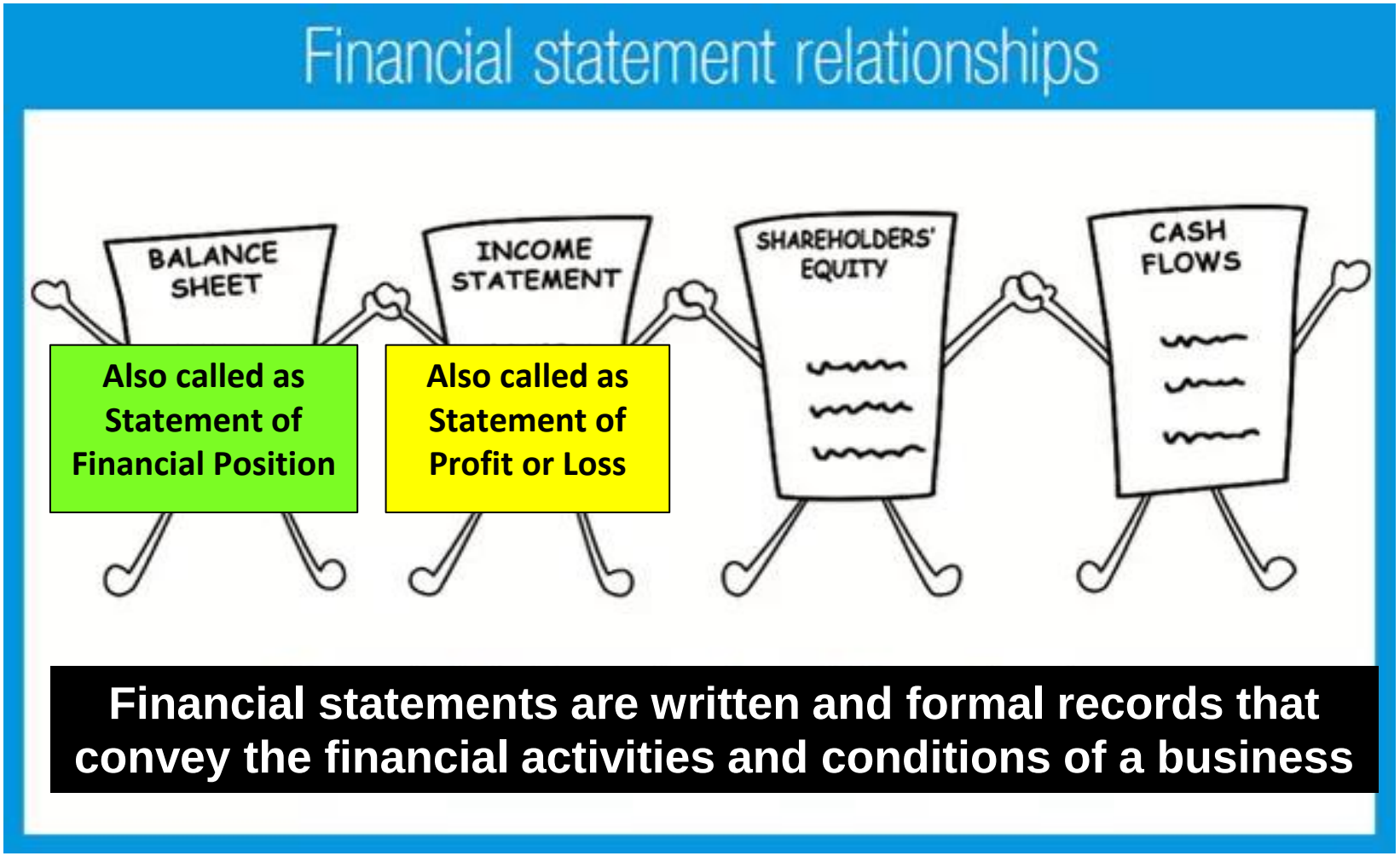


What is the main objective of financial statements?

“to provide information about the financial position, performance and changes in financial position of an enterprise that is useful to a wide range of users in making economic decisions (IASB Framework)”

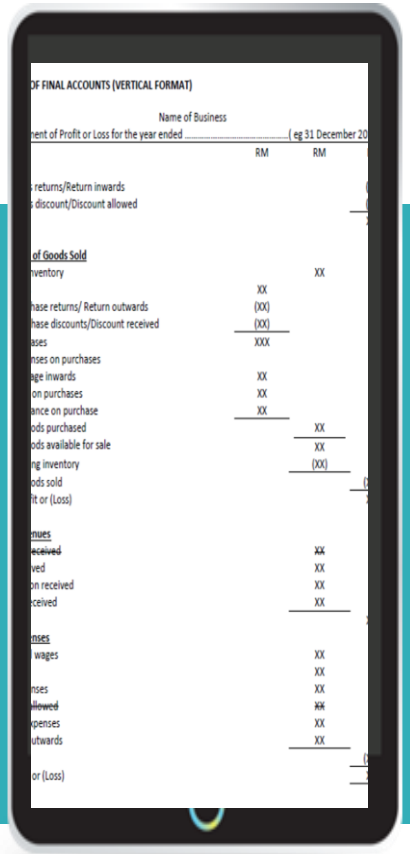


What are financial statements and its component?



Statement of Profit or Loss/ Income Statement

- Shows business' revenues and expenses over a period of time
- If revenue is more than expenses, business will have net income/profit
- If expenses are more than revenue, business will have net loss



FORMAT OF FINAL ACCOUNTS (VERTICAL FORMAT)

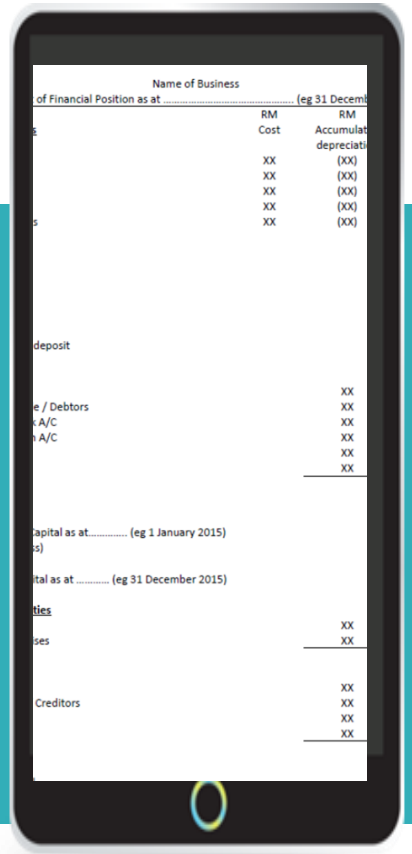
Name of Business

Statement of Profit or Loss for the year ended .....(eg 31 December 2015)

	RM	RM	RM
Sales			XX
Less: Sales returns/Return inwards			(XX)
Sales discount/Discount allowed			(XX)
Net Sales			XXX
Less: Cost of Goods Sold			
Opening inventory		XX	
Purchases	XX		
Less: Purchase returns/ Return outwards	(XX)		
Purchase discounts/Discount received	(XX)		
Net Purchases	XXX		
Add: Expenses on purchases			
Carriage inwards	XX		
Duty on purchases	XX		
Insurance on purchase	XX		
Cost of goods purchased		XX	
Cost of goods available for sale		XX	
Less: Closing inventory		(XX)	
Cost of goods sold			(XXX)
Gross Profit or (Loss)			XXX
Add: Revenues			
~~Discount received~~		~~XX~~	
Rent received		XX	
Commission received		XX	
Interest received		XX	
			XXX
Less: Expenses			
Salary and wages		XX	
Insurance		XX	
Rent expenses		XX	
~~Discount allowed~~		~~XX~~	
Interest expenses		XX	
Carriage outwards		XX	
			(XXX)
Net Profit or (Loss)			XXX

Statement of Financial Position/ Balance Sheet

- ✓ Highlights the relative strength/ position of a business at a point in time.
- ✓ Terms related to the balance sheet: assets (non-currents assets & current assets), liabilities (non-currents liabilities & current liabilities) and owner's equity.



Name of Business

Statement of Financial Position as at ..... (eg 31 December 2015)

	RM Cost	RM Accumulated depreciation	RM Carrying value
Non-Current Assets			
Land and Building	XX	(XX)	XX
Motor Vehicles	XX	(XX)	XX
Office Equipment	XX	(XX)	XX
Machinery	XX	(XX)	XX
Fixtures and Fittings	XX	(XX)	XX
			XXX
Intangible Assets			
Goodwill			XX
Patent			XX
Trademark			XX
Franchise			XX
Investment / Fixed deposit			XX
			XXX
Current Assets			
Closing inventory		XX	
Accounts Receivable / Debtors		XX	
Cash at Bank / Bank A/C		XX	
Cash in Hand / Cash A/C		XX	
Prepaid expenses		XX	
Accrued revenues		XX	
			XXX
			XXXX (*)
Owner's Equity			
Capital beginning/Capital as at..... (eg 1 January 2015)			XX
Add: Net Profit (Loss)			XX
Less: Drawings			(XX)
Capital ending/Capital as at ..... (eg 31 December 2015)			XX
Non Current Liabilities			
Long Term Loan		XX	
Mortgage on Premises		XX	
			XX
Current Liabilities			
Bank overdraft		XX	
Accounts Payable / Creditors		XX	
Accrued expenses		XX	
Prepaid revenues		XX	
			XX
			XXXX (*)

What are the elements of financial statements?



ASSET

- properties owned by the business; non-current assets and current assets.
- Non-current assets are assets acquired not for resale with a useful life of more than one year. Consists of tangible asset (land), intangible asset (patent) and investment.
- Current assets are assets that are either cash or cash equivalent and any assets that has a useful life less than a year. For example, stock, cash at bank, debtors



OWNER'S EQUITY

- is the wealth of the business own by the owners.
- It represents the fund supplied by the owner together with profit retained in the business excluding any liabilities and drawings.



LIABILITY

- financial obligation of the business to external parties of business; non-current liability and current liability
- Non-current liability is the financial obligation that can be settled more than a year. For example, long term loan, debenture and bond.
- Current liability is the financial obligation that need to be settled within a year. For example, short-term loan, creditor, accrual payment

What are the elements of financial statements?

REVENUE



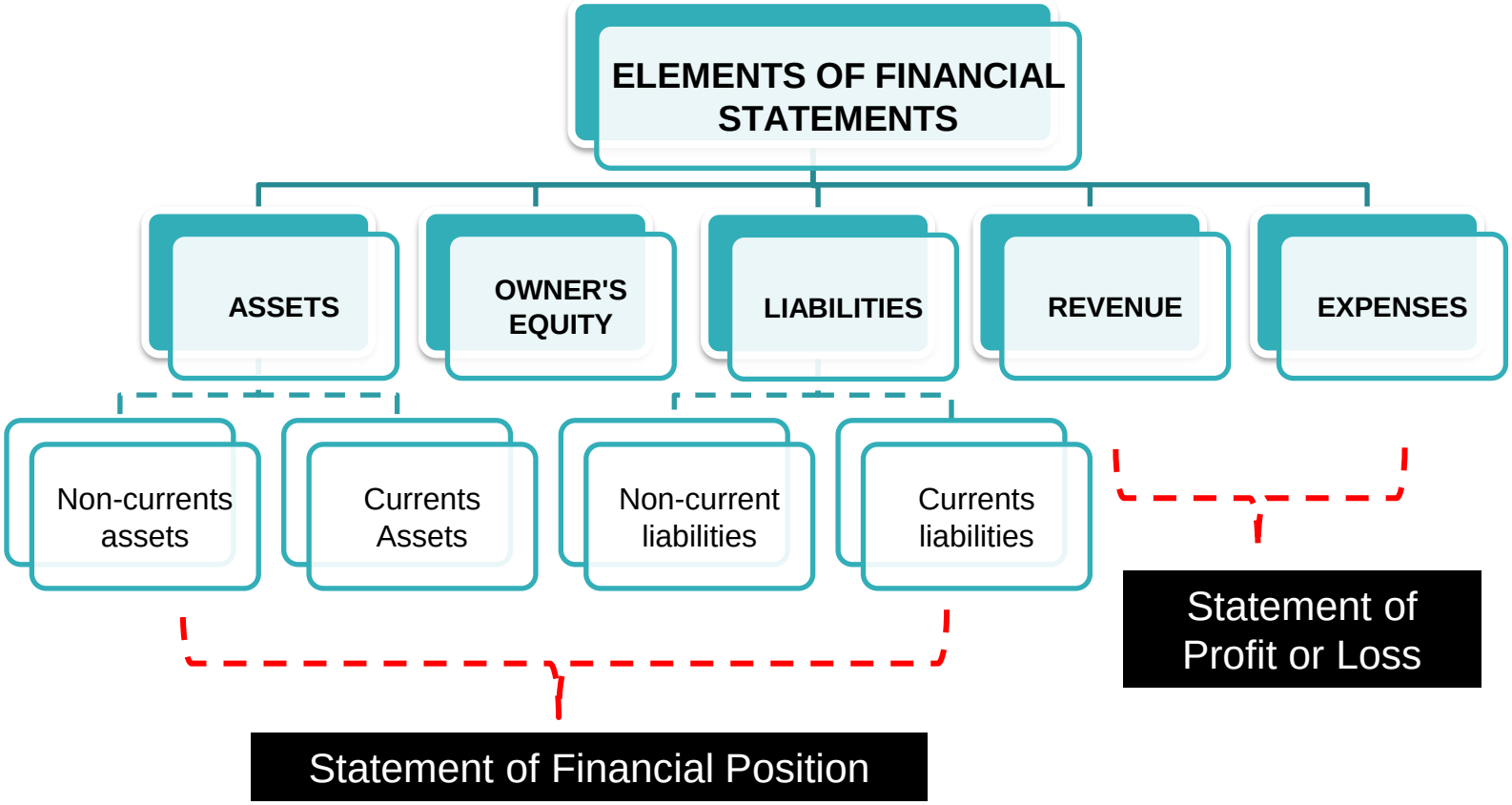
- created when there is a stream of economic benefits, normally money move into the company
- money received from the sale of goods.
- received interest, royalties, dividends, commissions, government grants, franchise fees and others.

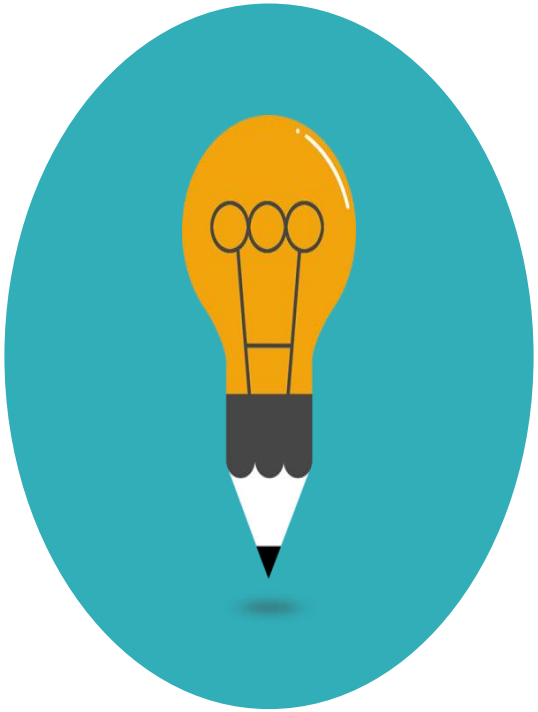


EXPENSES

- outflow of economic benefits, normally money paid to outsiders in the course of ordinary activities that necessary to run the business
- salary for workers, electricity bill and transportation.

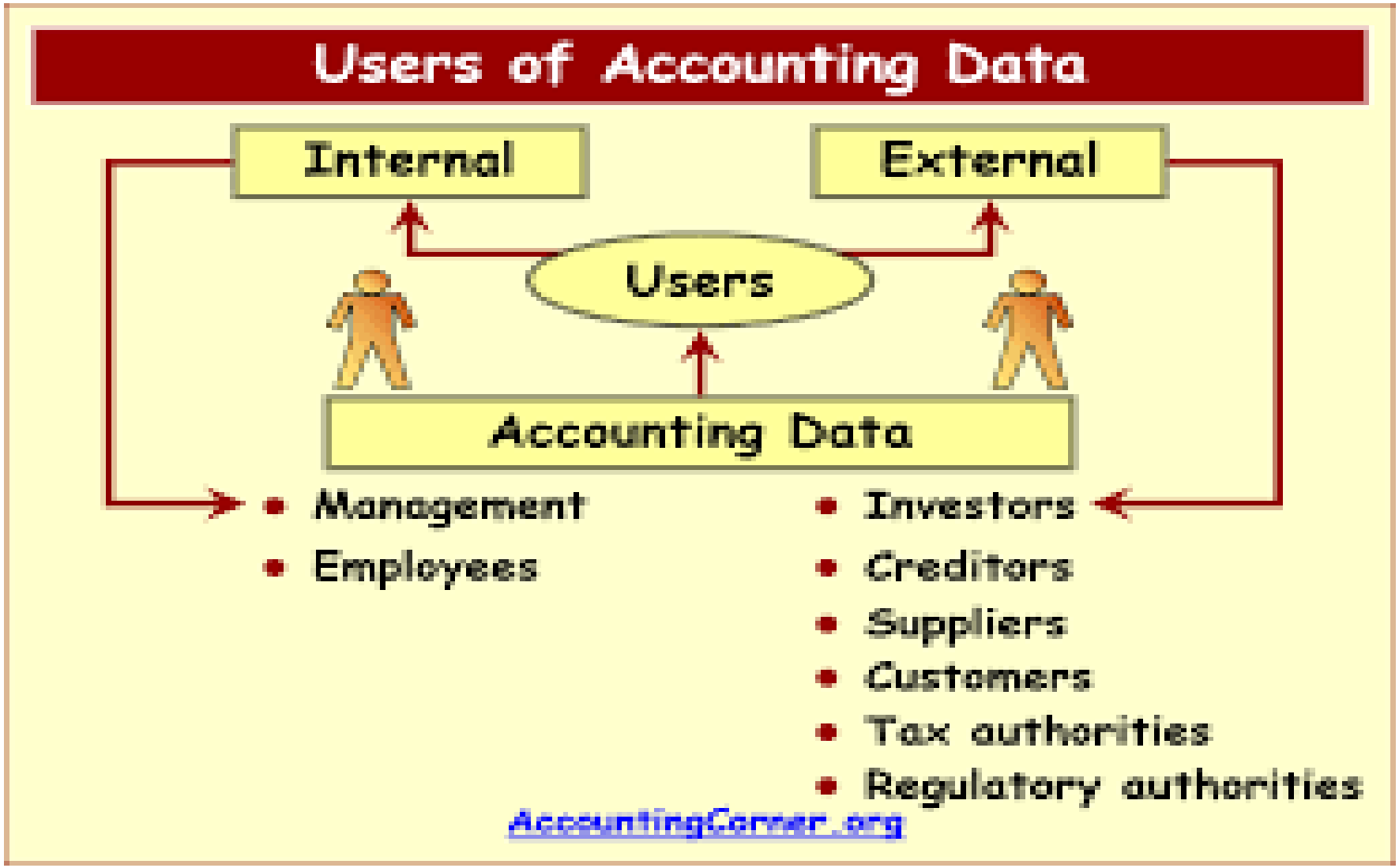
What are the elements of financial statements?





Let’s take a break

Who are the users of financial statements?



Internal users



Owner/management

Interested to know whether the business is being conducted / the capital is being employed properly or not.

Employee

Interested in financial statements as the payment of bonus depends upon the size of profit earned by the business



External users



Creditors/bankers

these groups are interested to know the business' financial soundness before granting credit

Investors

Investors wish to see the progress and prosperity of the firm, before investing their money



External users

Tax authorities/Government

Tax authorities keeps a close watch on the profits yield by business. They are interested to know the earnings for the purpose of taxation

Customers

interested in getting the goods at reduced price. Thus, they wish to know the establishment of proper accounting control, which in turn will reduce the cost of production



Form of business



Sole proprietorship

- Owned and manage by a single owner
- Simplest and least costly
- For example, restaurant, grocery shop, laundry



Partnership

- Owned by two or more individuals
- Normal partnership (2-20 partners)
- Professional partnership (2- unlimited)
- Profit and loss is sharing among partners



Company

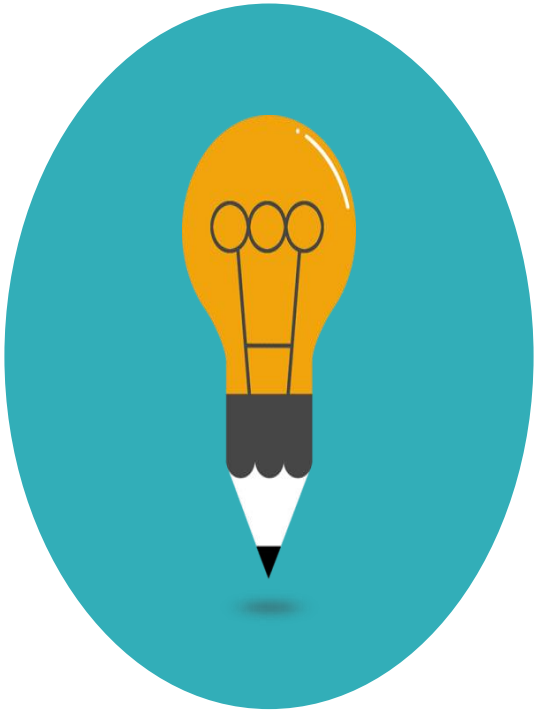
- Owned by many shareholders and managed by board of directors
- Large amount of capital
- Return to owners is in the form of dividend
- Divided into public and private company

Assignment:

You are required to identify further characteristics for each of the business form in terms of:

(capital contribution, liability, legal requirement and main legislation, taxation and financial statements)





Thank you